Planet continued

Growing our products and services that support a low carbon future

Across our global businesses, we offer dedicated ESG investment strategies that include criteria related to climate change. Both the Perpetual Ethical SRI Fund and Perpetual Ethical SRI Credit Fund exclude companies or issuers that derive five per cent or more of their total revenue from fossil fuel exploration and production. The Perpetual ESG Real Return Fund predominantly invests in funds with fossil fuel exclusions with the exception of some ETFs, which provide asset class exposure, but where we cannot mandate the exact criteria.

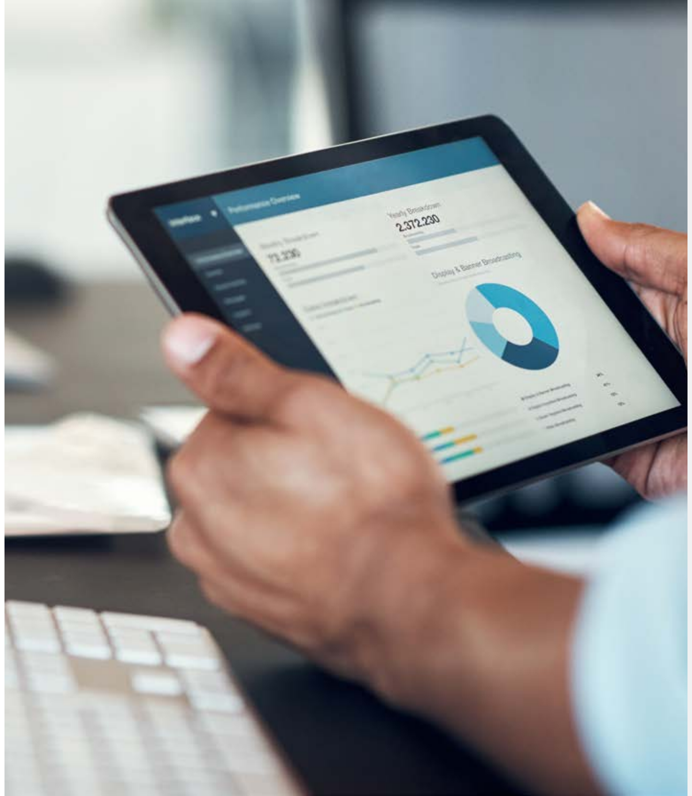
Trillium offer a range of values-aligned, ESG-integrated investment products, all of which currently have no direct fossil fuel exposure.[9] This includes the Trillium Global Sustainable Opportunities Fund, available to clients in the US and Australia, which is a sustainability-themed strategy that invests in companies providing products and services to meet specific sustainability challenges, including climate change.

Two of Trillium's funds were launched in Europe in FY22: the longstanding Trillium ESG Global Equity Fund, which is also available in the US and Australia and has been fossil fuel-free since its inception in 1999, and the Trillium ESG Global Conviction Fund, run by the newly formed Trillium UK team, which supports net carbon neutrality by 2050 and aligns with a potential temperature increase of 1.5°C.

Building on their existing ESG investment capabilities, in FY22, Barrow Hanley launched the Barrow Hanley Global ESG Value Fund and the Barrow Hanley Concentrated Emerging Markets ESG Fund in Europe. Barrow Hanley takes into consideration ESG factors, alongside other criteria, when assessing risks and making investments in these funds such as GHG emissions, vulnerability to climate change and biodiversity.

For Perpetual Corporate Trust, supporting the development of sustainability, ESG and green products has been an increasing focus. In FY22, this included Laminar Capital developing an ESG and Carbon Risk score rating, who partnered with the Institutional Shareholder Services group of companies (ISS), to create this tool (see case study below).

Case study
Perpetual Digital's new ESG and Carbon Risk score rating



Robust data and a clear and consistent scoring methodology are critical to understanding, managing and reporting on companies, ESG strategies and performance. Perpetual Digital is finalising the development and launch of an ESG and Carbon Risk score rating solution to provide industry-consistent ratings, reports and industry benchmarking for authorised deposit-taking institutions (ADIs), which previously may have not had the level of focus or detailed data and ESG reporting capability to support their ESG and climate performance.

The ESG and Carbon Risk score rating was developed by Laminar Capital in conjunction with ISS – a global provider of corporate governance and responsible investment solutions for institutional investors and corporations. The score assesses companies' risks and opportunities based on a broad range of ESG criteria and themes:

1. **Climate, social and governance risks**
2. **Industry-specific issues**
3. **Impact of products and services on the SDGs**
4. **Industry sustainability risk profile**
5. **Relevance of the EU taxonomy[10] for SMEs**

The ESG and Carbon Risk score will be launched in FY23 to provide ADI clients and their stakeholders with more meaningful and balanced ESG data and insights. This will help ADIs to obtain access to investment where previously they may have been negatively screened out of the investment universe by potential investors. These insights will be further leveraged through the establishment of sector-specific roundtables where Perpetual will work with ADIs and investors on benchmarking and strategies to drive best practice ESG outcomes for their businesses.

9. Trillium's funds have no direct investment in any companies that explore for, extract, process or refine fossil fuels, or generate power from coal, oil or gas. Trillium funds may hold companies that have indirect exposure to fossil fuels if the company has demonstrated a verified commitment to a low carbon business model.
10. The EU taxonomy is a classification system, establishing a list of environmentally sustainable economic activities.